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Spotify Earnings Timeline



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1. Spotify 3Q Steady as AI Spending Tests 4Q Margin: 3Q Preview

(Bloomberg Intelligence) -- Spotify's 3Q results should be broadly in line despite elevated AI and marketing investment, with guidance for 5 million premium subscriber additions and 11 million monthly-active-user gains. The bigger debate is likely to shift to 4Q, when gross-margin expansion could slow as costs from newer initiatives, including its concert Reserved offering, begin to weigh. Even so, expense growth should moderate into 2027. Attention is also moving from Spotify's ambitious long-term targets toward execution: its AI remix tier has yet to launch, leaving timing, pricing and adoption uncertain.

We view near-term margin pressure as a product-investment trade-off rather than a structural setback, supported by Spotify’s strong monetization track record. Subscriber scale, a growing ad business and expanding monetization avenues continue to support a path toward 35-40% gross margin and 20%-plus operating margin. (10/01/26)

Key Points:
- Guidance for Gain of 5 Million Premium Subscribers in 3Q, for a Total of 305 Million
- Gross Margin Path Uneven, May Be Under Near-Term Pressure
- Price Hikes Will Drive Long-Term Growth in Average Revenue Per User, Aided by Recent Price Raises
- Ad Sales Make Up About 11% of Total Revenue and Should Ramp Up in 2H, Fueled by Podcasts

Additional Resources:
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

2. Spotify Hits the Right Note Despite Tepid View: Earnings Outlook

Post-2Q Earnings Outlook: Spotify's softer-than-anticipated guidance for 3Q monthly active user additions is likely to raise questions about whether heavy investment in AI and new product features is translating into growth. The forecast for 3Q gross margin of 32.9% reflects a one-time regulatory charge rather than underlying weakness, but a slightly weaker operating income outlook suggests elevated investment will continue. Even so, Spotify delivered a solid 2Q, with premium subscriber additions of 7 million ahead of expectations and gross margin expanding to 33.4%.

Healthy premium average revenue per user, management's reaffirmed outlook for stronger growth and margins through 2026, plus new licensing agreements that could pave the way for AI-powered premium add-ons reinforce our view that near-term investment should drive longer-term monetization. (08/04/26)

Highlights From Recent Results:
- Gross Margin Improved to 33.4%, Driven by Favorability in Premium Segment; Soft 3Q Guidance for 32.9%
- Premium-Subscriber Additions of 7 Million Ahead Of Guidance and Consensus, Even With Recent Price Hike
- Forecast for 3Q Monthly Active Users of 788 Million Lower Than Consensus
- Advertising Has Been Weak But Should Ramp Up in 2H

Additional Resources:
- Earnings Release | DOCV »
- Company Presentation | DOCV »

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3. Spotify Set for Sales, Margin Gains Despite AI Costs: 2Q Preview

Spotify likely delivered a solid 2Q, driven by subscriber momentum with an estimated 6 million Premium and 17 million user additions. Though higher AI compute costs have weighed on near-term operating income, we view these investments as laying the foundation for improved monetization and a faster cadence of AI-driven product launches, supporting stronger engagement, revenue, and free-cash-flow growth in 2027 and beyond. Gross margin also continues to expand, with guidance for 33.1% in 2Q.

At its May Investor Day, Spotify outlined an ambitious AI roadmap spanning music discovery, creator tools and live events through partnerships with Universal Music and Live Nation. The company also introduced long-term targets of 35-40% gross margin and more than 20% operating margin by 2030, underpinned by mid-teens revenue growth. (07/06/26)

Key Points:
- Guidance for Gain of 6 Million Premium Subscribers in 2Q, for a Total of 299 Million
- Gross Margin Expanding, May Reach 33.1%, Driven by Favorability in the Premium Segment
- Price Hikes Will Drive Long-Term Growth in Average Revenue Per User, Aided by Recent Price Raise
- Ad Sales Make Up About 11% of Total Revenue and Should Ramp Up in 2H, Fueled by Podcasts

Additional Resources:
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- Equity Outlook | BICO »

4. Spotify's Good 1Q Not Enough as 2Q View Short: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-1Q Earnings Outlook: Spotify's 1Q results met expectations but 2Q operating-profit guidance missed consensus by 6.5%, while the gross-margin view was underwhelming. Management said that full-year gross margin will expand vs. 2025's 32%, but we think the lack of detail -- especially with new music-label deals and higher royalty payments -- will be a negative. AI presents a double-edged sword, offering monetization upside for Spotify with greater personalization but competition with AI-native platforms like Suno and Udio as well as from rival streamers like Google and Amazon (with big AI spending plans). This could lead to added costs and investments for Spotify.

User growth has been strong, but the bigger fear is whether AI music will change listener behavior and curtail longer-term monthly active user growth. (04/28/26)

Highlights From Recent Results:
- Gross Margin Improved to 33%, Driven by Favorability in Premium Segment; Soft 2Q Guidance for 33.1%
- Premium-Subscriber Additions of 3 Million Meets Guidance and Consensus, Even With Recent Price Hike
- Forecast for 2Q Monthly Active Users of 778 Million Above Consensus
- Advertising Has Been Weak But Should Ramp Up in 2H

Additional Resources:
- Earnings Release | NSN »
- Company Presentation | DOCC »

5. Spotify Margin Tuned Up Even as AI Fears Grow Louder: 1Q Preview

Contributing Analysts Raveeno Douglas

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Bloomberg Intelligence

Spotify likely delivered steady subscriber growth in 1Q, with 3 million net premium additions and around 8 million monthly active user gains, in line with guidance. Concerns around gross margin pressure from higher label payments have eased, with 1Q guidance of 32.8% implying continued expansion. The February US price increase underscores pricing power and should allow revenue growth to outpace content-cost inflation, reinforcing margin expansion.

Valuation has been weighed down by concerns over AI disruption, but we view Spotify as a beneficiary. Though AI-driven content creation will expand the audio catalog, it should enhance, not erode the value of Spotify's scale, discovery, personalization and monetization capabilities. The company may roll out new AI-powered tools to further strengthen its competitive position. (04/01/26)

Key Points:

- Guidance for Gain of 3 Million Premium Subscribers in 1Q, for a Total of 293 Million
- Gross Margin Expanding, May Reach 32.8% Driven by Favorability in the Premium Segment
- Price Hikes Will Drive Long-Term Growth in Average Revenue Per User, Aided by Recent 1Q US Price Raise
- Ad Sales Make Up About 11% of Total Revenue and Should Ramp Up in 2H26, Driven by Podcasts

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

6. Spotify Holds Mic With Solid Margin Trajectory: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-4Q Earnings Outlook: Spotify has set the stage for a strong 2026 especially for its gross margin trajectory, with the company outperforming in 4Q and forecasting a 32.8% margin in 1Q vs. consensus for 32.3%. That should allay concerns about a potential headwind from the rise in wholesale royalty costs with music labels like Universal and Warner, while solid pricing power should give its operating model better leverage. Margins will likely widen through the year, especially with the expansion of its high margin advertising revenue. The top line should accelerate with solid subscriber growth and recent price increases in the US, though currency fluctuations could be a negative.

Sentiment has been negative on the rise of AI, though we believe fears are overdone with Spotify poised to capitalize on more AI features. (02/10/26)

Highlights From Recent Results:

- Gross Margin Improved to 33.1%, Driven by Ad-Supported Gains; 1Q Guidance for 32.8% Eases Concerns of Music-Cost Increases
- Premium-Subscriber Additions of 9 Million Above Guidance and Consensus for 8 Million
- Forecast for 1Q Monthly Active Users of 759 Million Beats Consensus
- Advertising Growth Should Ramp Up in 2026, Driven by Podcasts

Additional Resources:

- Earnings Release | NSN »
- Company Presentation | DOCC »

7. Spotify Hums On With Focus on Price Hikes, Superfans: 4Q Preview

Contributing Analysts Raveeno Douglas

Spotify is poised for a solid 4Q finish despite currency headwinds, with a potential 2026 sales acceleration predicated on US price hikes expected in 1Q. That said, royalty rates will also increase given new deals with music labels like Universal and Warner Music. Though these agreements will raise Spotify's costs, they'll also enable the launch of new tiers -- including a superfan offering -- while expanded video rights support additional features via the recent podcast deal with Netflix. Ads have

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been a headwind, but the business should inflect in 2H as it moves from direct deals to a programmatic-buying model.

AI-related risks have weighed on shares, yet we believe the technology will be a positive for Spotify. Enhanced personalization and discoverability should support greater pricing power and favorable margin dynamics. (01/14/26)

Key Points:
- Guidance for Gain of 8 Million Premium Subscribers in 4Q, for a Total of 289 Million
- Gross Margin Expanding, May Reach 32.9%
- Price Hikes Will Drive Long-Term Growth in Average Revenue Per User; Possible 1Q US Price Raise
- Ad Sales Make Up About 12% of Total Revenue and Should Ramp Up in 2H26

Additional Resources:
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

8. Spotify Hums Along as Price Hike, Ad Ramp Near: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-3Q Earnings Outlook: Spotify's solid 31.6% gross margin in 3Q and over 700 million monthly active users underpin acceleration in revenue gains, especially on upcoming US price increases, a ramp up in advertising, more product features and a potential superfan tier. Gross margin guidance for 4Q is slightly ahead of consensus, though subscriber additions fell short of expectations. The streamer has been introducing new features including lossless audio, which should enhance pricing power into 2026. A boost in ads will likely aid top-line growth and drive gross margin expansion well beyond 33%, though 1Q may be soft on seasonality.

A CEO transition to a co-CEO structure as Daniel Ek steps down next year will likely be relatively smooth and accelerate revenue growth as Spotify focuses on monetization. (11/04/25)

Highlights From Recent Results:
- Gross Margin Improved to 31.6%, Driven by Ad-Supported Gains; Poised to Accelerate in 4Q
- Premium-Subscriber Gains of 5 Million in Line With Guidance
- Forecast for 4Q Monthly Active Users of 745 Million Above Consensus
- Advertising Growth Should Ramp Up in 2026

Additional Resources:
- Earnings Release | NSN »
- Company Presentation | DOCC »

9. Spotify Overseas Price Hikes Tune Up ARPU, Margin: 3Q Preview

Contributing Analysts Raveeno Douglas

Spotify's international price increases should boost average revenue per user (ARPU) and assuage fears about a slowdown, while eventually driving gross-margin accretion. Though there might be no material 3Q impact given guidance for flat trends, we expect revenue to ramp up in 4Q and through 2026, especially if the streamer hikes US prices. With the recent Sony deal, we think the company has many growth opportunities, including the introduction of new premium tiers and price increases, apart from a ramp-up in advertising that can drive midteens revenue gains over the next few years. Momentum should extend with premium subscriber and active-user gains.

A CEO transition to a co-CEO structure as Daniel Ek steps down will likely be relatively smooth and accelerate revenue growth as Spotify focuses on monetization. (10/08/25)

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Key Points:

- Guidance for Increase of 5 Million Premium Subscribers in 3Q for a Total of 281 Million
- Gross Margin Likely Flat at 31.1%, Expansion Stemmed by Investments, Regulatory Charge
- Price Hikes Will Drive Long-Term Growth of Average Revenue Per User
- Ad Revenue Makes Up About 12% of Total Revenue, and Should Ramp Up in 2026

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

10. Spotify Fundamentals Solid, Short-Term Choppy: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-2Q Earnings Outlook: Softer 2Q revenue and operating income plus underwhelming 3Q guidance overshadow the strength in Spotify's longer-term outlook. Premium subscriber and active user gains were solid in 2Q and momentum will likely continue into 3Q, but currency headwinds and social and regulatory charges tempered the revenue and gross margin forecast. Still, the company is prioritizing better monetization, especially with a big advertising ramp into 2026 thanks to its own ad exchange, the expansion of audiobooks into new markets, steady price increases and the launch of new tiers, which should drive high-teens revenue growth through the next 3-4 years.

The increase in the share buyback authorization to $2 billion is a positive and the launch of a superfan-focused Music Pro will be a catalyst. (07/29/25)

Highlights From Recent Results:

- Gross Margin Improved to 31.5%, But 3Q Guidance Lower Than Expected on Regulatory Charge
- Premium-Subscriber Gains of 8 Million Ahead of Guidance
- Forecast for 3Q Monthly Active Users at 710 Million Above Consensus
- Advertising Growth Should Ramp Up in 2026

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCC »

11. Spotify Fundamentals Strong Amid Currency Headwinds: 2Q Preview

Contributing Analysts Raveeno Douglas

Spotify is poised to show momentum across key metrics in 2Q with guidance for 5 million subscriber gains and 11 million active user additions. However, the strengthening of the euro creates a negative reporting impact and could weigh on revenue expectations. Similarly, the bottom line may also be hurt by higher social charges given the 60% year-to-date appreciation in the stock price. Though gross margin might stay relatively unchanged from 1Q at 31.5%, we expect it to expand through the year, even as the pace slows vs. last year on multiple investments.

Longer term, Spotify has solid pricing power, and the rising mix of non-music categories should fuel higher margins. The launch of Music Pro for superfans, a ramp-up in advertising and the expansion of audiobooks into new markets are all potential catalysts. (07/04/25)

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Key Points:
- Guidance for Increase of 5 Million Premium Subscribers in 2Q for a Total of 273 Million
- Gross Margin May Widen, But More Slowly on Investments
- Price Hikes Will Drive Long-Term Growth of Average Revenue per User
- Ad Revenue Makes Up Over 12% of Total Revenue, Critical to Expanding Margin

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

12. Spotify's Tone Cautious But Fundamentals Solid: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-1Q Earnings Outlook: Despite a solid 1Q showing, Spotify's 2Q tone was slightly muted with gross margin and monthly active-user additions falling short of expectations, though we think this is conservatism from management given overall economic uncertainty. Premium subscriber growth was strong in 1Q and momentum is projected to continue into 2Q with 5 million gains. Advertising revenue was lighter than anticipated, but the longer-term trajectory is robust thanks to the launch of an ad exchange, new product rollouts and better monetization of audiobooks and podcasts.

Management reaffirmed its expectations for gross margin to expand vs. 2024's 30.1%, though the pace will be lower vs. last year's 450-bp jump. The revenue outlook also reflects some noise from foreign-currency volatility and a choppier environment. (04/29/25)

Highlights From Recent Results:
- Gross Margin Improved to 31.6%, But 2Q Guidance Slightly Lighter Than Expected
- Premium-Subscriber Gains of 5 Million Beat Consensus' 2 Million, Outlook Suggests Sustained Momentum
- Forecast for 2Q Monthly Active Users at 689 Million Short of Consensus
- Greater Podcast Expansion Necessary to Support Long-Term Advertising Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCC »

13. Spotify Gross Margin Humming, Won't Be Gangbusters: 1Q Preview

Contributing Analysts Raveeno Douglas

Spotify is set to post at least mid-teens revenue growth in 1Q on 2 million subscriber adds and a gain of 3 million monthly active users. Advertising could be hurt by economic pressures and forex volatility. Gross margin could decline slightly on a sequential basis, with projections for 31.6% (vs. 32.2% in 4Q) partly on new investments like video podcasting and an expanded music offering. That could also weigh on 2Q guidance. Overall, the pace of margin expansion will be strong but muted vs. the 450-bp jump in 2024.

Uncertainty is high, but positive catalysts include potential price increases, a bigger advertising push with programmatic partners and an ad exchange launch, as well as new features such as video podcasts. The launch of a super-premium service can also drive further financial upside. (04/07/25)

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Key Points:
- Guidance for Increase of 2 Million Premium Subscribers in 1Q for a Total of 265 Million
- Gross Margin Expands But More Slowly on Reinvestments
- Ad Revenue Makes Up Over 12% of Total Revenue, Critical to Expanding Margin
- Price Hikes Will Drive Long-Term Expansion of Average Revenue per User

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

14. Spotify Fires on All Cylinders; Margin Dazzles: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-4Q Earnings Outlook: Spotify's solid 4Q was a testament again to its execution, showing how product leadership creates sustainable revenue growth, pricing power and steady margin-expansion potential. Subscriber trends were extremely positive with 11 million gains (vs. guidance for 8 million), suggesting low churn from recent audiobook bundling and price hikes. Gross margin hit a record of 32.2%, and though a modest compression to 1Q guidance of 31.5% is prompted by video-podcast investments, we expect margin to steadily widen through the year. Looking at the big picture, we anticipate subscriber additions to accelerate after a slowdown, with the company forecasting 2 million in 1Q.

Fundamentals are strengthening with multiple upcoming catalysts, including price hikes and the launch of new tiers for superfans. (02/04/25)

Highlights From Recent Results:
- Record 4Q Gross Margin Widening to 32.2%; May Compress Modestly 1Q on Investments
- Premium-Subscriber Gains of 11 Million Beat Consensus' 8 Million, Despite Price Hikes
- Record 4Q Monthly Active User Net Additions
- Greater Podcast Expansion Necessary to Support Long-Term Advertising Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCC »

15. Spotify Margin Keeps Rising Amid Multiple Catalysts: 4Q Preview

Contributing Analysts Raveeno Douglas

Spotify's subscriber gains likely accelerated in 4Q, with guidance for 8 million premium adds and 25 million user gains, thanks in part to low churn even after price increases. The bigger story has been progress on margins with projections for 31.8% gross margin in 4Q, vs. 3Q's 31.1%, on strong cost controls. Still, the pace of margin expansion may slow in 2025 after jumping by over 400 bps in 2024. Even so, there are multiple catalysts on the horizon, including price hikes and the launch of new tiers for superfans. Ads will also ramp up as Spotify builds it own exchange.

Improved monetizaton and growth in verticals beyond music, such as audiobooks and podcasting, support a strong earnings trajectory. Spotify recently launched a Partner Program that will help creators earn more, but will require near-term investments. (01/16/25)

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Key Points:
- Guidance for Increase of 8 Million Premium Subscribers in 4Q for a Total of 260 Million
- Gross Margin Getting Better, May Hit 31.8% on Improvement in Music and Podcasting
- Ad Revenue Makes Up Over 12% of Total Revenue, Critical to Expanding Margin
- Price Hikes Will Drive Long-Term Expansion of Average Revenue per User

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

16. Spotify Fires on All Cylinders as Margins Stun: Earnings Outlook

Post-3Q Earnings Outlook: Spotify's 3Q gross margin of 31.1% beat guidance, yet its forecast for an acceleration into 4Q at 31.8% will feed sentiment amid favorable industry dynamics. With subscriber and user growth showing no signs of a slowdown, we believe there's a long runway for healthy revenue growth and margin expansion amid multiple tailwinds. Average revenue per user got a bump from price hikes and subscriber gains. New initiatives like music video ads may further boost gains. With year-to-date free cash flow at €1.4 billion, new capital-allocation plans might be imminent.

Regular price increases and growth in verticals beyond music like audiobooks and podcasting can support a strong earnings trajectory. We expect more frequent price hikes and premium tiers. More stock buybacks would be a positive. (11/13/24)

Highlights From Recent Results:
- Gross Margin Improves Significantly to 31.1%, Poised to Accelerate in 4Q
- Premium-Subscriber Growth of 6 Million Solid, Despite Price Hikes; Guidance Suggests Sustained Momentum
- Increase in Monthly Active Users Robust Even After Record 2023
- Greater Podcast Expansion Necessary to Support Long-Term Advertising Gains

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

17. Spotify Amps Up Margin Volume, Wins Streaming Wars: 3Q Preview

Spotify is the clear winner of the global audio-streaming industry with a 32% share, and its leadership position is widening, lending credence to higher pricing power. That improved industry position could drive improvement in margins with 3Q guidance for 30.2%. Spotify imposed price increases in July, and commentary about minimal churn signals that premium-subscriber growth and gains in average revenue per user will stay robust. We expect the company to report monthly active user gains in line with its guidance for 639 million and a premium subscriber base of 251 million.

Regular price hikes and growth in verticals beyond music, such as audiobooks and podcasting, can support a strong earnings trajectory. We expect more frequent price increases and premium tiers. More stock buybacks would be a positive. (10/11/24)

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Key Points:
- Guidance for Increase of 5 Million Premium Subscribers in 3Q for a Total of 251 Million
- Gross Margin Getting Better, May Hit 30.2% on Improvement in Music and Podcasting
- Ad Revenue Makes Up Over 12% of Total Revenue, Critical to Expanding Margin
- Price Increases Will Drive Long-Term ARPU Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

18. Spotify's Margin View Signals Further Strength: Earnings Outlook

Post-2Q Earnings Outlook: Spotify's past low margin momentum has become its biggest source of upside, with 2Q gross margin of 29.2% exceeding guidance of 28.1%. The strength will continue, with 3Q guidance at 30.2%. Spotify imposed price increases in July, and commentary about minimal churn signals that premium-subscriber growth and gains in average revenue per user will stay robust. Monthly active user growth was soft in 2Q at 11 million, but the outlook suggests acceleration to 13 million in 3Q, driven by better marketing. Free cash flow was substantial at €490 million, driving a meaningful 2024 inflection.

Regular price hikes and growth in verticals beyond music, such as audiobooks and podcasting, can support a strong earnings trajectory, with a forecast for 3Q operating profit that is 35% above estimates. (07/23/24)

Highlights From Recent Results:
- Gross Margin Improves Significantly to 29.2%, Is Poised to Accelerate in 3Q
- Premium-Subscriber Growth of 7 Million Was Solid Despite Price Hikes; Guidance Suggests Sustained Momentum
- Increase in Monthly Active Users Slows After Record 2023
- Greater Podcast Expansion Is Necessary to Support Long-Term Gains in Advertising Margin

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Company Presentation | DOCV »

19. Spotify Hits Sweet Spot on Price Hikes, Gross Margin: 2Q Preview

Spotify is at an inflection point with recent price changes highlighting its commitment to expanding gross margin and profit. It has several growth levers, including a lower cost structure on multiple layoffs, price increases, discipline in podcast investments and the introduction of new price tiers. High operating leverage is reflected in the company's 2Q gross margin guidance for 28.1%, and we think there should be further upside through 2H as price hikes take effect. The company also expects subscriber gains to reaccelerate to 6 million in 2Q vs. 3 million in 1Q.

Though price increases could spark cancellations, we expect limited churn given Spotify’s value proposition. Free cash flow was strong and may more than double to $1.6 billion in 2024 and $2.2 billion in 2025, which could prompt share buybacks. (07/08/24)

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Key Points:
- Guidance for Increase of 6 Million Premium Subscribers in 2Q for a Total of 245 Million
- Gross Margin Getting Better, May Hit 28.1% on Improvement in Music and Podcasting
- Ad Revenue Makes Up Over 12% of Total Revenue, Critical to Expanding Margin
- Price Increases Will Drive Long-Term ARPU Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

20. Spotify Is Spot On With Revenue, Margin Gains: Earnings Outlook

Post-1Q Earnings Outlook: Spotify's solid 1Q lends credence to a strong outlook for the rest of 2024, especially with multiple monetization levers, including new plans and price increases that should be tailwinds for ARPU and revenue growth. Revenue jumped 20%, and the company hit its stride in lowering costs, with better music and podcast profitability driving a 27.6% gross margin in 1Q and solid 2Q guidance of 28.1% vs. consensus for 26.7%, suggesting high pricing and operating leverage.

Despite the strong financial metrics, user gains slowed a bit after a record 2023, partly due to a pullback in marketing. Pending price increases will have limited churn impact given Spotify’s value proposition. Free cash flow was strong and may jump 90% to $1.4 billion in 2024 and $2 billion in 2025, which could prompt buybacks. (04/23/24)

Highlights From Recent Results:
- Gross Margin Has Improved Significantly to 27.6%, Will Accelerate Into 2Q
- 1Q Premium Subscriber Growth of 3 Million In Line Despite Price Hikes; Guidance Suggests Sustained Momentum
- Monthly Active User Additions Slowed After Record 2023
- Greater Podcast Expansion Imperative to Support Long-Term Advertising-Margin Increases

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

21. Spotify at Sweet Spot on Monetization, Higher Margin: 1Q Preview

Spotify's 1Q results could easily meet or even beat guidance for a 20% gain in revenue to $3.9 billion and 3 million subscriber gains, thanks to sustained momentum in app downloads and limited churn despite price hikes. Monetization levers such as new plans, further price increases and advertising are also ramping up, which can drive gross margin to 30% in the near term and solid operating-income gains. The company has been restructuring since last year, trimming its workforce by around 25%, which will give it added operating leverage. It's also close to breakeven in its podcast business, which should enhance profitability for the ad-supported segment.

We believe that the combination of positive catalysts will support a significant increase in free cash flow, potentially leading to stock buybacks. (04/08/24)

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Key Points:
- Guidance for Increase of 3 Million Premium Subscribers in 1Q for a Total of 239 Million
- Gross Margin Getting Better, May Hit 26.4% on Improvement in Music and Podcasting
- Ad Revenue Makes Up 10% of Revenue, Critical to Expanding Margin
- Greater Podcast Gains Crucial in Supporting Long-Term Advertising-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

22. Spotify Profit Tune Loud as User Gains Strong: Earnings Outlook

Post-4Q Earnings Outlook: Spotify starts 2024 on a strong footing, with sustained subscriber momentum as the platform added 10 million users in 4Q and expects 3 million more in 1Q despite recent price increases. The focus has clearly shifted to financial discipline and efficiencies with consistent margin expansion, while balancing subscriber growth and profitability. Gross margin appears on track amid improvements in music and podcasts, though audiobook costs have been a slight drag. Still, margin could reach over 27% this year after being stuck at 24-25%, while profit has potential to top €1 billion for the year, thanks in part to a strong 20% revenue-growth projection for 1Q.

The company said it was close to breakeven in its podcast business, which should enhance profitability for the ad-supported segment. (02/06/24)

Highlights From Recent Results:
- Gross Margin Improved to 26.7%, Appears Poised to Stay Strong in 2024
- 4Q Premium Subscriber Growth of 10 Million Was Solid Despite Price Hikes, Guidance Suggests Sustained Momentum
- Monthly Active User Additions Expected to Be Robust in 1Q, With 16 Million Gains for 618 Million
- Greater Podcast Expansion Imperative to Supporting Long-Term Advertising-Margin Increases

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Company Presentation | DOCV »

23. Spotify Profit Tune Gets Louder Amid Solid User Tone: 4Q Preview

Spotify likely had a strong finish to 2023, with the company projecting 9 million subscriber additions in 4Q and 27 million new monthly active users. That likely gave the service more than 600 million users as it targets 1 billion by 2030. Guidance for 4Q revenue accounts for 300 bps of headwinds from currency swings, despite the benefit of price hikes. Spotify said that recent price increases and its audiobook launch in select markets was received well by subscribers.

Financial discipline has been front and center with restructuring efforts, including layoffs. Though that will result in €130-€145 million of charges in 4Q, the profit narrative is gathering momentum. Spotify projected 26.6% in 4Q gross margin after being stuck at 24-25%, due in part to lower podcasting investment and a cut in marketing and personnel expenses. (01/25/24)

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Key Points:
- Guidance Sees Increase of 6 Million Premium Subscribers in 4Q for Total of 235 Million
- Gross Margin to Improve to 26.6% on Cost Cuts, Mainly in Podcasting
- Ad Revenue Makes Up 10% of Revenue, Critical to Expanding Margin
- Greater Podcast Gains Crucial in Supporting Long-Term Advertising-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

24. Spotify Hits High Notes, Amps Up Margin Volume: Earnings Outlook

Post-3Q Earnings Outlook: A solid 3Q print and strong guidance for 4Q sets up a strong finish for Spotify with progress on key metrics, namely gross margin and profit. Subscriber momentum was also a standout, and this should endure into 4Q with guidance for 9 million gains after 6 million adds in 3Q. Revenue guidance was in line and accounts for 300 bps of headwinds from currency swings despite the benefit of price increases. Active user growth is also strong with an estimated 601 million by year-end as it targets 1 billion by 2030. Spotify said recent price increases and well as the audiobook launch in select markets have been well received.

Gross margin is finally making progress after being stuck at 24-25% with 26.4% in 3Q and 26.6% in 4Q on lower podcasting investments and a cut in marketing and personnel costs. (10/24/23)

Highlights From Recent Results:
- Gross Margin Improved to 26.4%, May Expand Further in 4Q
- 3Q Premium Subscriber Growth of 6 Million Was Solid Despite Price Hikes, Guidance Suggests Sustained Momentum
- Monthly Active User Additions Expected to Be Strong in 4Q, With 27 Million Gains to Exceed 600 Million
- Greater Podcast Expansion Imperative to Supporting Long-Term Advertising-Margin Increases

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

25. Spotify to Pare Loss Yet Price Jump Won’t Pump Sales: 3Q Preview

Spotify's subscriber momentum likely continued into 3Q with 4 million premium additions and a gain of around 21 million monthly active users, for a total user base of 572 million. Revenue guidance is a bit light as it accounts for headwinds from currency swings and assumes minimal impact from recent price hikes, since they went into effect late in the quarter. Foreign exchange is expected to temper growth in operating expenses and may help trim losses. More important, though, is that operating margin is expected to hit 26% on reduced podcasting investment after being stuck at 24-25% through 2H22.

Though it will take time, price increases and cost discipline should improve Spotify's margin trajectory. (10/03/23)

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Key Points:
- Guidance Sees Increase of 4 Million Premium Subscribers in 3Q, for Total of 224 Million
- Gross Margin to Improve to 26% on Cost Cuts, Mainly in Podcasting
- Ad Revenue Makes Up 10% of Revenue, Is Critical to Expanding Margin
- Greater Podcast Gains Are Crucial to Supporting Long-Term Advertising Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

26. Spotify User Strength Stung by Weak Financials: Earnings Outlook

Post-2Q Earnings Outlook: Spotify's 3Q revenue outlook for €3.3 billion fell short of consensus' €3.4 billion, suggesting that forex headwinds can't be offset by recent price increases. User growth will be strong with the company projecting 21 million new monthly active users (MAUs) after adding 36 million in 2Q, while the premium subscriber base could hit 224 million by 3Q's end. Visibility into margins and profitability has been the bigger issue and despite 3Q guidance for 26% gross margin, it was weak in 2Q, casting doubts about the trajectory. Margin has been stuck at 24-25% through 2022 and into 1H, implying that the path to its medium-term 30% target will be bumpy.

The key levers to margin expansion include curbing podcasting and audiobook investments, and better leverage in the two-sided Marketplace music. (07/25/23)

Highlights From Recent Results:
- Gross Margin Still Weak But May Expand Sequentially to 26% in 3Q
- 2Q Premium Subscriber Growth of 10 Million Was Solid, Guidance Suggests Sustained Momentum
- Monthly Active User Additions Expected to Be Strong in 3Q, With 21 Million Gains
- Greater Podcast Expansion Imperative to Supporting Long-Term Advertising-Margin Increases

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »

27. Spotify Tuned Up With Spotlight on Cost Cuts, Margin: 2Q Preview

Spotify is set to post a solid 2Q, possibly exceeding guidance for 7 million subscriber gains and 15 million user adds. Despite this extremely strong trend, the debate on the lack of profitability has been a pain point. However, sentiment has been strengthening with a laser focus on cost discipline, which resulted in 1Q gross margin of 25.2%, just above guidance (24.9%). Margin could improve sequentially, even beyond 2Q guidance for 25.5%, given a recent round of layoffs in the podcasting division. That, and a rationalization of the expense base, can help gross margin ramp up through the year.

Potential price increases are a key catalyst, with the company already planning a new premium tier. Operating losses are being pared on lower marketing spending, improving visibility on profitability. (07/03/23)

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Key Points:
- Guidance Calls for 7 Million Premium Subscriber Gains in 2Q for a Total of 217 Million
- Gross Margin Under Pressure But Will Expand Through Year on Cost Cuts
- Ad Revenue Makes Up 10% of Revenue and Is Critical to Margin Expansion
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

28. Spotify Spot On as Subscribers Stun, Margin Up: Earnings Outlook

Post-1Q Earnings Outlook: Spotify's 1Q outperformance was broad-based with the streamer adding 5 million paying subscribers, above guidance for 2 million. Monthly active user growth remained strong with 26 million net additions, the second-highest on record. The momentum will extend into 2Q with guidance for 7 million subscriber gains and 15 million user adds. Despite this extremely strong trend, the debate on the lack of profitability has been a pain point. Yet, Spotify has made progress with its 1Q gross margin of 25.2% higher vs. guidance (24.9%). Margin should improve sequentially to 25.5% in 2Q with the company expecting it to ramp up through the year.

Operating losses are being pared on lower marketing spending even as personnel expenses were higher. With a streamlining of operations, losses should moderate further. (04/25/23)

Highlights From Recent Results:
- Gross Margin Improving and May Expand Sequentially to 25.5% in 2Q
- 1Q Premium Subscriber Growth of 5 Million Was Solid, Guidance Suggests Sustained Momentum
- Monthly Active User Additions Expected to Be Strong in 2Q, With 15 Million Gains
- Greater Podcast Expansion Imperative to Supporting Long-Term Advertising-Margin Increases

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »

29. Spotify Could Hit Margin Sweet Spot as Ads Pick Up: 1Q Preview

Spotify may handily beat guidance for 2 million 1Q premium subscriber additions, especially after adding 10 million in 4Q, a testament to its growth runway despite a slowing economy. It also expects 11 million active-user adds for 500 million by 1Q. The 24.9% gross-margin forecast for 1Q is below 4Q's 25.3% but suggests a moderation in podcast investments that will ramp up through 2023. Guidance also suggests a 1Q acceleration in ads, partly on easier comps. Ultimately, the convergence of music, podcasts and audiobooks will boost gross margin to 30-35%. The focus will shift to meaningful positive operating income and free cash flow in 2024-25.

Operating income will be dragged in 1Q by severance charges, but a 6% head-count reduction can curb expenses. Potential price increases are a catalyst given Apple and Amazon's hikes. (04/06/23)

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Key Points:
- Guidance Calls for 2 Million Premium Subscriber Gains in 1Q for a Total of 207 Million
- Gross Margin Still Under Pressure at 24.9% in 1Q But Could Gradually Expand
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Ad Revenue May Accelerate Partly on Easier Year-Over-Year Comparisons

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

30. Spotify Subscriber Gains Spot On, Margin Beats: Earnings Outlook

Post-4Q Earnings Outlook: Spotify's 10 million premium subscriber gains in 4Q is a testament to its long growth runway, suggesting that guidance for 2 million additions in 1Q may be conservative. Still, a softer economy will be an overhang. The company also expects 11 million active user adds for 500 million total by 1Q's end. The 24.9% gross margin forecast for 1Q is a touch weaker than the 25.3% posted in 4Q, but suggests a moderation in podcast investments and should ramp up through the year. Ultimately, the convergence of music, podcasts and audiobooks will likely boost margins.

Though 1Q operating income will be dragged down by severance charges, the 6% headcount reduction will moderate operating expenses. No price increases were announced, but it's an imminent catalyst given recent hikes by Apple and Amazon.com. (01/31/23)

Highlights From Recent Results:
- Gross Margin Improving, But Will Still Be Under Pressure at 24.9% in 1Q
- 4Q Premium Subscriber Growth of 10 Million Was Solid, Guidance Suggests Sustained Momentum
- Monthly Active User Additions Expected to Be Strong in 1Q, With 11 Million Gains
- Greater Podcast Expansion Imperative to Supporting Long-Term Advertising-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »

31. Spotify Could Hike Price on Apple, Solid User Gains: 4Q Preview

Spotify could post strong user growth, with projections for 7 million gains in 4Q having likely yielded 202 million premium subscribers by the end of 2022, while monthly active user gains may have hit 23 million. Still, the key issue has been its investments amid a muted 4Q gross-margin forecast. Though Spotify expects a rebound in 2023, the outlook faces economic headwinds. That said, we think the company can improve margin if it raises monthly prices on its US plan to $10.99 vs. $9.99, following Apple Music's recent hike.

Spotify is targeting a 30-35% margin long term. Key levers here include scaling the ad business as well as podcasting, while also growing Marketplace, but execution is critical. Ads are subject to broader economic risks, and an expansion into new verticals such as audiobooks will also weigh on margin. (01/09/23)

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Key Points:
- Guidance Calls for 7 Million Premium Subscriber Gains in 4Q Despite Economic Headwinds
- Gross Margin Under Pressure Due to Investment Costs, Expected to Decline to 24.5% in 4Q But Could Improve in 2023
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Ad Revenue Surged Over 60% in 2021 But Will Be Under Pressure Given the Economic Downturn

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

32. Spotify Outperforms But Margin Pain Deepens: Earnings Outlook

Post-3Q Earnings Outlook: Spotify continues to show stunning user growth, with projections for 7 million premium subscriber gains in 4Q, ending the year with 202 million, while monthly active user gains may hit 23 million. User growth in 3Q was also strong, with the company exceeding guidance. Even so, ongoing investments are a drag, with gross margin falling below guidance by 50 bps at 24.7%, and the 4Q forecast is tepid as well. While Spotify expects a rebound in 2023, the outlook faces economic headwinds.

The company is targeting 30-35% margin in the long term. Key levers here include scaling the ad business as well as podcasting while also growing Marketplace, but execution is critical. The Ads unit is subject to macro risks, and an expansion into new verticals like audiobooks will also weigh on margin.
(10/26/22)

Highlights From Recent Results:
- Gross Margin Under Pressure, Expected to Decline Slightly to 24.5% in 4Q
- 4Q Premium Subscriber Guidance of 202 Million Is Solid, Given Macroeconomic Concerns
- Monthly Active User Growth Expected to Be Extremely Strong in 4Q, With 23 Million Gains
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »

33. Spotify Tunes Out Noise on User Gains, Margin Upside: 3Q Preview

Spotify is poised to exceed its 3Q guidance for 6 million premium subscriber additions and 17 million monthly active-user (MAU) gains, given a 26% jump in downloads. This is a testament to the model's resilience, despite increasing economic concerns, suggesting to us that consumer spending on music could stay strong amid inflation. Advertising remains a bright spot at 13% of total revenue, but could be hurt in a recession. The strengthening dollar is a tailwind, given Spotify reports in euros.

Podcasting is expanding steadily and could reach $300 million in 2022 revenue. Though podcasting investment has been a drag on gross margin, causing it to hover around 25.2% in 2022, growth in podcasting, audiobooks and the music ad segment should drive an expansion to 30% or more.
(10/14/22)

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Key Points:
- Company Might Surpass 3Q Guidance of 194 Million Premium Subscribers
- Gross Margin Under Pressure Due to Investment Costs, May Remain Flat at 25.2% But Poised to Expand in 2023
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising Margin Growth
- Ad Revenue Surged Over 60% in 2021, Thanks in Part to Greater Podcast Monetization

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

34. Spotify Hits High Note on Strong User Metrics: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-2Q Earnings Outlook: Spotify's 3Q guidance for 6 million premium subscriber adds, 17 million monthly active user (MAU) gains and revenue of 3 billion euros was ahead of consensus and is a testament to the model's resilience despite growing macroeconomic fears. The company delivered a very strong 2Q, surpassing guidance on both MAUs and premium subscribers. Advertising continues to be a bright spot, jumping 31% in 2Q to make up 13% of total revenue. Though ad revenue could be hurt in a recession, the strengthening dollar is a tailwind given that the company reports in euros.

Margin continue to be an overhang but was mostly in-line with guidance at 25.2% and will remain at that level through 2022. We believe these issues are transitory given that this is an investment year, and margin should start to expand in 2023. (07/27/22)

Highlights From Recent Results:
- 3Q Premium Subscriber Guidance of 194 Million Is Solid Given Macroeconomic Concerns
- Monthly Active User Growth Expected to be Extremely Strong in 3Q With 17 Million Gains
- Advertising Revenue Rose 31%, Thanks in Part to Higher Podcast Monetization
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Gross Margin Expected to Stay Flat at Around 25% in 2022

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

35. Spotify May Strike Right Tone Despite Muted Margins: 2Q Preview

Spotify's 2Q user gains could be in-line with guidance for net additions of around 5 million after factoring in another 600,000 subscriber losses in Russia. That said, the key concern for the company has been its flat margin outlook for 2022 given the heavy investments in podcasting. Gross margin in the quarter may hover around 25.2%, similar to 1Q. Sentiment has plummeted since early 2022. But margin might expand next year, with 2022 potentially representing the worst in terms of podcasting's drag on this metric. The company is also emerging as a key player in audio ads. Advertising revenue was up 31% in 1Q, mostly on better podcast ad monetization. The overall outlook on digital ads, however, is becoming bleaker due to economic concerns.

The company expects to end 2Q with 428 million monthly active users. (07/12/22)

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Key Points:
- Company Likely to Meet 2Q Guidance of 187 Million Premium Subscribers, Though Economic Concerns May Be a Risk
- Gross Margin Under Pressure Due to Investment Costs, May Remain Flat at 25.2%
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising Margin Growth
- Ad Revenue Surged Over 60% in 2021, Thanks in Part to Higher Podcast Monetization

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

36. Spotify Tone Good, But Margin Tepid: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-1Q Earnings Outlook: Though Spotify's premium-subscriber adds of 2 million in 1Q unsurprisingly missed guidance for 3 million on 1.5 million of Russia losses, 2Q guidance of 6 million new premium subscribers excluding the country strikes us as fairly solid. The company also expects to end 2Q with 428 million monthly active users and an agreement with Google for direct billing may provide 2H revenue tailwinds. Ads were up a strong 31% while podcasts continue to grow with 4 million at the end of 1Q.

Despite a flat margin outlook for the rest of 2022, the company is focusing on long-term profit vs. short-term gains with its sustained investment in podcasting and advertising likely supporting margin expansion. That is key as all media companies will be ultimately judged on their ability to translate user scale into profits. (04/27/22)

Highlights From Recent Results:
- 2Q Premium Subscriber Guidance of 187 Million Seems Solid Given Headwinds From Russia
- Advertising Revenue Rose 31%, Thanks in Part to Higher Podcast Monetization
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Gross Margin Expected to Stay Flat in 2022

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

37. Spotify Subscriber Goal Faces Economic, Russia Risks: 1Q Preview

Contributing Analysts Kevin Near (Media)

Spotify's uninspiring 1Q guidance for 183 million premium subscribers (or 3 million additions) faces further downward pressure on macroeconomic risks and churn in Russia. Management expects 25% gross margin in the quarter, a decline from 4Q21's 26.5%, on podcast investment costs. Spotify continues to be acquisitive in the podcast space, with several small deals. The company expects 418 million monthly active users (MAUs), with advertising a potential bright spot given the unit's 40% gain in 4Q. Another positive in 1Q was a deal with Google that allows Spotify to directly bill users, making the sign-up process smoother.

Star podcaster Joe Rogan remains a headline risk given his controversial comments. (04/06/22)

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Key Points:
- 1Q Guidance of 183 Million Premium Subscribers May Be at Risk on Macro Concerns, Russia
- Advertising Revenue Surged Over 60% in 2021, Thanks in Part to Higher Podcast Monetization
- Gross Margin Under Pressure as Investment Costs Hit in 1Q
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

38. Spotify Ad Gains Could Offset User Slowdown: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-4Q Earnings Outlook: The strength in Spotify's advertising unit, with revenue up 40% in 4Q despite tough comps, may offset the overall user slowdown, as ads could improve the company's long-term margin profile. That's because higher podcast contributions benefit profitability, and Spotify was able to monetize this medium better amid accelerated demand for Spotify Audience Network, the company's audio-ad marketplace. Ad revenue accounted for 15% of sales vs. 13% last year.

Heftier podcast contributions and gains in average revenue per user (ARPU) are bright spots, yet we believe new initiatives such as the Car Thing, a partnership with Shopify, and eased App Store fees could be growth catalysts this year. (02/03/22)

Highlights From Recent Results:
- 1Q Premium Subscriber Guidance of 183 Million Seems Lackluster Given Overseas Growth
- Advertising Revenue Rose 40%, Thanks in Part to Higher Podcast Monetization
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Ebitda Margin Begins to Improve; Advertising Revenue Accounts for 15% of Total Sales

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

39. Spotify Download Recovery May Offset Price Increases: 4Q Preview

Contributing Analysts Amine Bensaid

Spotify's premium-subscriber gains may have recovered beyond consensus of 16% in 4Q, as SensorTower app-download data show a 32% increase globally during the quarter. That was thanks mostly to a 42% surge in India, a key international growth market. However, price increases in Europe and North America may have limited gains in those regions. Higher podcast contributions could still benefit overall profitability, assuming Spotify's advertising segment continues to expand over 70%. Ad revenue already accounts for 13% of total sales vs. 9% a year earlier.

Higher podcast contribution and gains in average revenue per user (ARPU) are bright spots, yet we believe new initiatives such as the Car Thing, a partnership with Shopify, and a relaxation of App Store fees could be growth catalysts this year. (01/29/22)

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Key Points:
- 4Q Guidance of 177-181 Million Premium Subscribers May Be Conservative, Given Growth in India
- Advertising Revenue Surged 75%, Thanks in Part to Higher Podcast Monetization
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Ebitda Margin Begins to Improve; Advertising Revenue Accounts for 13% of Total Sales

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

40. Spotify Podcast Gains Overshadow User Slowdown: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-3Q Earnings Outlook: Strength in Spotify's advertising segment, which grew 75% in 3Q, may continue to offset moderating user gains, given it helped margin improve 200 bps vs. 3Q20. That's because higher podcast contributions benefited overall profitability, as Spotify was able to monetize the medium better due to accelerated demand for Spotify Audience Network, the company's audio ad marketplace. Ad revenue already accounts for 13% of total sales vs. 9% last year. Spotify's recent price increases in mature markets such as the U.S. helped ARPU grow year-over-year for the first time since 2016.

Higher podcast contribution and ARPU gains are bright spots, yet we believe new initiatives such as the Car Thing, a partnership with Shopify and a relaxation of App Store fees could be catalysts for growth in 2022. (10/27/21)

Highlights From Recent Results:
- 4Q Guidance of 177-181 Million Premium Subscribers Suggests Pandemic Headwinds, Price Increases May Limit User Growth
- Advertising Revenue Surged 75%, Thanks in Part to Higher Podcast Monetization
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Ebitda Margin Begins to Improve; Advertising Revenue Accounts for 13% of Total Sales

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

41. Spotify International Recovery May Fuel User Growth: 3Q Preview

Contributing Analysts Amine Bensaid

Spotify's 3Q premium-subscriber gains may have recovered beyond consensus of 20%, as SensorTower app-download data show a 32% surge during the quarter in India, a key international growth market. App downloads aren't always correlated to paid-subscriber growth, but 3Q data suggest user-growth trends and retention may have improved vs. 2Q.

New initiatives such as the Car Thing, a partnership with Shopify and a relaxation of App Store fees could be catalysts for growth in 2022. Gross margin surged to 31% in 2Q, but that was mostly thanks to the release of prior publishing-royalty accruals, and we believe it may remain pressured at about 26-28% in 3Q. (10/22/21)

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Key Points:
- 3Q Guidance of 170-174 Million Premium Subscribers May Be Conservative, Given Growth in India
- New Initiatives Such as Car Thing, Partnership With Shopify Could Be Key Catalysts for User Recovery in 2022
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Overall Margin May Remain Pressured on Higher Podcast Investments, International Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

42. Virus Headwinds Still Weigh on Spotify Gains: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-2Q Earnings Outlook: Covid-19 headwinds may still hamper Spotify's near-term growth, especially in international markets, and we believe these challenges may extend to 3Q given the new variant. Worsening pandemic trends in key growth markets such as India hampered user growth in 2Q, as we expected, with monthly active listener gains moderating to 22% in 2Q vs. 25% in 1Q. However, advertising revenue continues to benefit from higher podcast adoption, with the segment soaring 110% vs. a year ago and encompassing 12% of total sales. In addition, the launch of Spotify Audience Network boosted podcast inventory monetization by nearly 3x.

While gross margin surged to 31% in 2Q, that was mostly thanks to the release of prior publishing-royalty accruals, and we believe it may remain pressured at about 26-27%. (07/28/21)

Highlights From Recent Results:
- 3Q Guidance of 170-174 Million Premium Subscribers Suggests Pandemic Headwinds May Extend to 2H
- Advertising Revenue Surged 110% Thanks in Part to Higher Podcast Monetization
- Greater Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Overall Margin May Remain Pressured on Higher Podcast Investments, International Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

43. Spotify User Gains May Remain Slow Until Second Half: 2Q Preview

Contributing Analysts Amine Bensaid

Spotify may be challenged to significantly top 2Q consensus of 20% growth in paid users, as worsening pandemic trends in key growth markets such as India may have moderated gains. In addition, SensorTower data show an 18% decline in new app downloads in 2Q vs. the year-ago quarter. App downloads aren't always correlated to paid-subscriber growth, but they may suggest that user expansion could be delayed until 2H.

Despite slowing downloads, monthly active user data suggest engagement continues to accelerate, likely due to increased investments in podcasts. New initiatives such as the Car Thing smart player and a partnership with Facebook could be keys to 2H user-growth acceleration. (07/22/21)

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Key Points:

- 2Q Guidance of 162-166 Million Premium Subscribers Suggests Lower Growth in Key International Markets Affected by Covid-19
- New Initiatives Such as Car Thing, Partnership With Facebook Could Be Key Catalysts for User Recovery in 2H
- Higher Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Overall Margin May Remain Pressured on Higher Podcast Investments, International Expansion

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

44. Spotify User-Gain Moderation May Be Temporary: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-1Q Earnings Outlook: Spotify's 21% gain in premium subscribers slightly beat the top end of guidance, yet worsening pandemic trends in key growth markets such as India may hamper near-term user increases. While the company upgraded its 2021 revenue and gross-margin outlook thanks to planned price increases across the U.S. and Europe, that may hamper 1H monthly active-user expansion despite lower churn.

We believe the long-term growth story remains intact, given the company's digital-audio positioning vs. traditional audio. That's evidenced by a 46% surge in advertising revenue, due in part to podcasts, and higher investments in digital-audio advertising measurement. Further new initiatives such as the Car Thing smart player and a partnership with Facebook could be key in accelerating user growth in 2H. (04/28/21)

Highlights From Recent Results:

- 1Q Guidance of 366-373 Million Monthly Active Users Suggests Lower Growth in Key International Markets Affected by Covid-19
- Further New Initiatives Such as Car Thing, Partnership With Facebook Could Be Key Catalysts for User Recovery in 2H
- Higher Podcast Gains Imperative to Supporting Long-Term Advertising-Margin Growth
- Overall Margin May Remain Pressured on Higher Podcast Investments, International Expansion

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCC »

45. Spotify Subscriber Gains May Benefit From Vaccines: 1Q Preview

Contributing Analysts Amine Bensaid

An accelerated vaccine rollout may have boosted Spotify's premium subscriber growth beyond the company's 20% target for 1Q, as audio-listening trends improved with commuting beginning to return to normalcy. While a lack of major international rollouts may still hamper user growth in 1H, we believe the long-term growth story remains intact, given digital-audio positioning vs. traditional radio. However, continued investment in podcasts may remain a focus to maintain lower churn, as about a quarter of total users were engaged in the format in 4Q. (04/23/21)

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Key Points:

- Spotify's 1Q Guidance of 354-364 Million Monthly Active Users Suggests Fewer International Rollouts in 1H
- International Expansion Should Be a Key Focus in Boosting User Gains in 2H
- Higher Podcast Gains Imperative to Supporting Long-Term Advertising Margin Growth
- Overall Margin May Remain Pressured on Higher Podcast Investments, International Expansion

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

46. Spotify Slowing 1H Growth May Be Temporary: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-4Q Earnings Outlook: While Spotify's 359 million monthly active-user guidance for 1Q is slightly below consensus' 360 million, we believe the long-term growth story remains intact given digital-audio positioning vs. traditional radio. The potential deceleration in user growth in 1Q may be due to the lack of major international rollouts, as Spotify benefited from a pull-forward effect on successful launches in Russia and India last year. However, margin expansion could be minimal this year, as ARPU remains pressured by aggressive promotional offerings when entering new markets.

Continued investment in podcasts may remain a bright spot to help in boosting user growth and lowering churn this year. Podcasts were a key factor in accelerated net additions in 4Q, with about a quarter of total users engaged in the medium. (02/04/21)

Highlights From Recent Results:

- Spotify's 1Q Guidance of 354-364 Million Monthly Active Users Suggests International Expansion in 1H Could Slow
- International Expansion Should Be a Key Focus in Boosting User Gains Despite Pandemic Uncertainty
- Higher Podcast Gains Imperative to Supporting Long-Term Advertising Margin Growth
- Overall Margin May Remain Pressured on Higher Podcast Investments, International Expansion

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

47. Podcast, International May Help Spotify User Growth: 4Q Preview

Contributing Analysts Amine Bensaid

Greater podcast engagement and international expansion could be key for Spotify to top the higher end of consensus for 343 million monthly active users in 4Q. That's despite a sharp virus resurgence last quarter that likely hampered commuting and moderated audio-listening gains. The vaccine rollout and Spotify's upcoming launch in South Korea may be tailwinds in 1H. However, podcasts' benefit to the bottom line may have been marginal last year and it could take years for the medium to be large enough to boost margin.

We still believe that owning content such as podcasts remains the main strategy to improve overall profitability, as music margins are unlikely to significantly improve. (01/26/21)

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Key Points:
- Spotify's 4Q Guidance of 340-345 Million Monthly Active Users Suggests Strong Resilience Despite Virus Resurgence
- Overall User Growth May Be Relatively Stable at About 27-30% Thanks to International, Podcasts
- Higher Podcast Gains Will Be Key in Supporting Ad-Margin Growth
- Advertising Trends Could Continue to Recover Thanks in Part to Higher Podcast Engagement

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

48. Spotify Positioned to Weather Virus Resurgence: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-3Q Earnings Outlook: Spotify may be able to withstand a new wave of Covid-19 across Europe and U.S., in our view, thanks in part to higher podcast engagement, which now accounts for 22% of total monthly active users. In addition, podcasts have significantly improved user retention, with churn falling below 4% for the first time.

International expansion will remain a key growth driver, especially in Russia, which was Spotify's most successful launch, and a major contributor to subscriber growth outperformance in 3Q. (10/29/20)

Highlights From Recent Results:
- Spotify's 4Q Guidance of 340-345 Million Monthly Active Users Suggests Strong Resilience Despite Virus Resurgence
- Overall User Growth May Be Relatively Stable at About 27-30% Thanks to International, Podcasts
- Advertising Trends Could Continue to Recover Thanks in Part to Higher Podcast Engagement
- Higher Podcast Gains Will Be Key in Supporting Ad-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

49. Spotify Sub Growth May Not Quicken Until Next Year: 3Q Preview

Contributing Analysts Amine Bensaid

Spotify's near-term paid subscriber growth may remain 25-30% in 3Q, in our view, as a Covid-19 resurgence means the drag from a lack of commuting could extend to 1H21. International expansion in Eastern Europe and Asia may be key catalysts for the company to offset the moderation in music listening.

New podcast content releases in 2H could help Spotify's churn rate, as consumption is 100% higher than last year, with 21% of monthly active listeners tuning in to the medium. While a pullback in advertising spending is likely to extend into early 2021, we believe the impact may be less severe than it was in 1H, as trends improved in July and August. (10/15/20)

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Key Points:
- Spotify's 3Q Guidance of 312-317 Million Monthly Active Users Seems Adequately Cautious, Given Virus Resurgence
- Spotify Subscriber Gains May Be Stable at About 25%, Fueled by International Expansion
- Advertising Segment Could Recover Slightly, as Trends Improved in July and August
- Higher Podcast Growth Will Be Key in Supporting Ad-Margin Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

50. Spotify Ads May Recover on New Podcast Content: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-2Q Earnings Outlook: New podcast content releases in 2H may allow Spotify to retain stable user growth of about 27-30%, in our view, as the medium improved retention and moderated churn to 4%. Podcast consumption remained high in 2Q, increasing over 100% vs. last year, with 21% of monthly active users listening in vs. 19% in the prior quarter. However, the podcast contribution is still small, and continued international expansion will be key in driving near-term subscription gains. Latin America is still growing at about 33%, while the Rest of World category was up 58% in 2Q.

The company was affected by an overall pullback in ad spending, with the segment declining 21% vs. last year. Yet these decreases may moderate in 2H, thanks in part to podcast ads, which outperformed in 2Q. (07/30/20)

Highlights From Recent Results:
- Spotify's 3Q Guidance of 312-317 Million Monthly Active Users Seems Adequately Cautious Given Virus Uncertainty
- Overall User Growth May Be Relatively Stable at About 27-30% Thanks to International, Podcasts
- Advertising Segment Fell 21% in 2Q Due to an Overall Pullback in Spending
- Higher Podcast Growth Will Be Key in Supporting Ad Margin Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

51. Spotify Growth May Remain Stable on Podcast Boost: 2Q Preview

Contributing Analysts Amine Bensaid

Spotify's 2020 user growth may hold at 25-30%, in our view, as higher podcast engagement could offset a pandemic-driven moderation in music listening. Podcasts could improve the company's margin profile, as they cost significantly less than music. Spotify has aggressively invested in podcast content, with The Joe Rogan Experience joining the company's lineup on Sept. 1. Rogan vodcasts will also be available.

While podcast contribution is likely still small, continued international expansion could drive subscription growth. Spotify recently launched in several eastern European countries, including Russia, the fastest-growing major market globally, according to IFPI. (07/24/20)

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Key Points:
- Spotify's 2Q Guidance of 289-299 Million Monthly Active Users Seems Cautious, Reflects Virus Uncertainty
- User Gains May Be Relatively Stable in 2020 Despite Virus, Led by International Expansion, Higher Podcast Usage
- Lower Ad Spending Could Hamper Near-Term Revenue
- Higher Podcast Growth Needed to Support Long-Term Profit Advance

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

52. Spotify's Growth Remains Stable Despite Virus: Earnings Outlook

Contributing Analysts Amine Bensaid

Post-1Q Earnings Outlook: Spotify's user growth may not be significantly affected by the coronavirus pandemic this year, in our view, as listening in hard-hit markets such as Italy and Spain has meaningfully recovered. As a result, user expansion remained relatively stable at about 31%, to reach 130 million premium subs. While usage in cars and wearables fell, it was more than offset by a 50% audience surge in TV and Game Consoles. However, top-line expansion was lower than expected due to a moderation in advertising revenue, which typically underperforms in a recessionary environment.

Engagement in podcasts, a potential key margin growth driver, continues to grow as 19% of Spotify’s 286 million monthly active users used the medium vs. 16% in 4Q19. (04/29/20)

Highlights From Recent Results:
- Spotify's 2Q Guidance of 289-299 Million Monthly Active Users Seems Adequately Cautious Given Virus Uncertainty
- Near-Term Revenue Growth Could be Hampered by Lower Ad Spending
- Overall User Growth May Be Relatively Stable in 2020 Despite Virus, as Consumption Recovered in Hard-Hit Markets Such as Italy and Spain
- Higher Podcast Growth Will Be Key in Supporting Ad Margin

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

53. Virus May Have Temporarily Slowed Spotify User Gains: 1Q Preview

Contributing Analysts Amine Bensaid

The coronavirus pandemic may have curbed Spotify's user growth in 1Q, but the company's app downloads and top-200 chart data showed a significant recovery in the latter part of the quarter. If that pattern continues, a boost in 2Q user growth is possible, in our view. Free cash flow is expected to be challenged due to the timing of certain licensor payments that shifted from 4Q.

Improved podcast trends will be key to supporting Spotify's long-term growth, as margins may remain pressured until demand for that segment surges. (04/14/20)

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Key Points:

- Company's Guidance of 279-289 Million Monthly Active Users in 1Q Could Be Hampered by Virus
- Significant Margin Expansion Unlikely This Year on Podcast Investment, Litigation Risk
- Higher Podcast Growth Will Be Key in Supporting Ad Margin
- Free Cash Flow to Be Affected by Payment Timing Shift

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

To contact the analyst for this research:

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